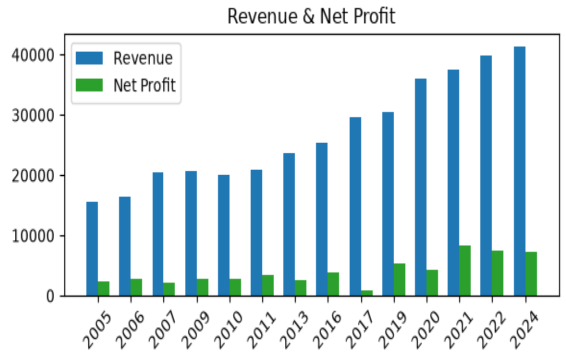
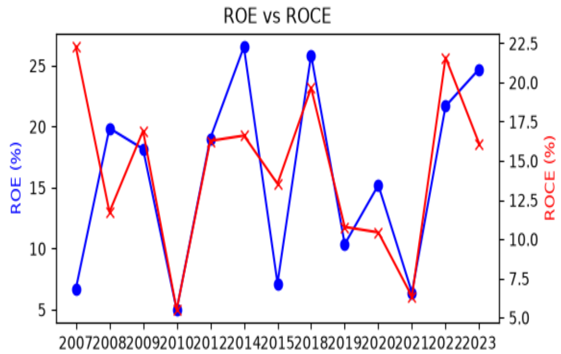
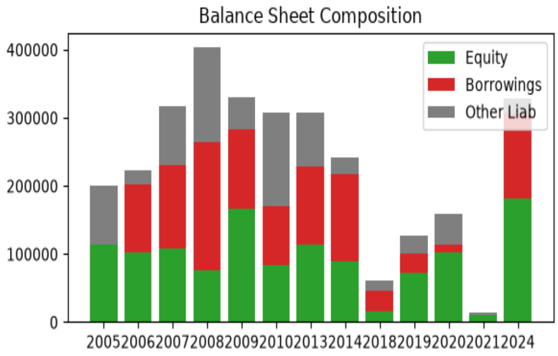
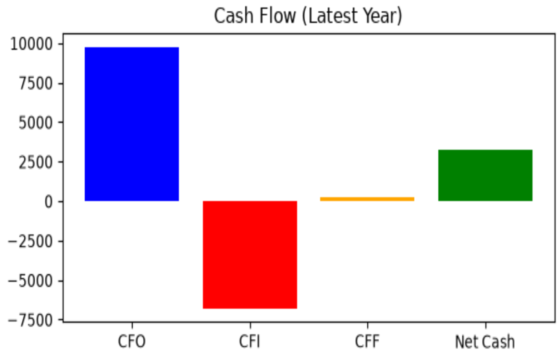
Power Grid Corporation of India Ltd (POWERGRID)

Revenue	Rs. 41307.9 Cr	Net Profit	Rs. 7228.5 Cr	OPM	32.9%
ROE	24.7%	ROCE	16.1%	D/E	2.83









Capital Allocation Pattern: Dividend Payer

Pros:

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons:

- Debt-to-equity ratio of 2.8 is elevated for a non-financial company and warrants monitoring
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility